

Non-Resident Nepali Act, 2008

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Inserted by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(a1) "Person who has obtained Non-Resident Nepali citizenship" means a person who has obtained a certificate of Non-Resident Nepali citizenship pursuant to law.

(b) "Foreign citizen of Nepali origin" means a person who, originally, such person himself/herself or his/her father, mother, grandfather or grandmother was a citizen of Nepal and later has taken the citizenship of a country other than a member country of the South Asian Association for Regional Cooperation (SAARC).

(c) "Nepali citizen residing abroad" means a Nepali citizen who has resided in a foreign country for at least two years by engaging in any profession, occupation or employment, excluding a Nepali citizen residing in a SAARC member country, a Nepali citizen deputed by the Government of Nepal and posted in a diplomatic mission or consulate general abroad, and a Nepali citizen studying in an educational institution abroad.

(d) "Identity Card" means the identity card of a Non-Resident Nepali issued pursuant to Section 4.

(e) "Investment" means an investment made in any industry or business in Nepal with the objective of earning profit, and the term also includes the act of transferring rights relating to technology of any foreign origin, know-how, formula, process, patent, trademark or technical skill or knowledge, or providing technical consultant or management services, by agreement between the industry or business and the Non-Resident Nepali.

(f) "Family" means husband, wife, father, mother, sons and daughters, grandfather, grandmother, and mother-in-law or father-in-law.

(g) "Near relative" means the relative referred to in clause (b) of Section 2 of the Income Tax Act, 2058.

(h) "Convertible foreign currency" means convertible foreign currency as per clause (?ha) of Section 2 of the Nepal Rastra Bank Act, 2058.

(i) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules made under this Act. 3. Maintenance of Record of Non-Resident Nepali: (1) If any Non-Resident Nepali or his/her family wishes to register his/her name in the capacity of a Non-Resident Nepali, an application along with the prescribed fee shall be submitted to the prescribed authority.

(2) Upon receipt of an application pursuant to Sub-section (1), the prescribed authority shall make necessary inquiry and maintain the record of the Non-Resident Nepali as prescribed. 4.

Issuance of Identity Card: (1) If a Non-Resident Nepali whose name has been included in the record pursuant to Section 3 wishes to obtain an identity card, an application shall be submitted to the prescribed authority.

(2) Upon receipt of an application pursuant to Sub-section (1), the prescribed authority may, after making necessary inquiry and collecting the prescribed fee, issue an identity card of Non-Resident Nepali to the applicant. (3) The validity of the identity card issued pursuant to Sub-section (2) shall, subject to the visa obtained by a foreign citizen of Nepali origin, remain valid for a maximum of ten years, and in the case of a

Nepali citizen residing abroad, for up to two years. Provided that, a Nepali citizen residing abroad who has obtained a permit to reside abroad for more than two years may be issued an identity card for that entire period. (4) A Non-Resident Nepali wishing to renew the identity card shall submit an application to the prescribed authority before the expiry of the validity of the identity card. (5) Upon receipt of an application for renewal of the identity card pursuant to Sub-section (4), the prescribed authority shall, subject to Sub-section (3), renew the identity card upon collecting the prescribed fee. 5. Status of Non-Resident Nepali to Remain: Notwithstanding anything contained elsewhere in this Act, if a Nepali citizen residing abroad who has made an investment pursuant to this Act resides in Nepal in the capacity of an operator or senior managerial officer of such industry or business in the course of operating any industry or business, his/her status of Non-Resident Nepali shall remain. 6. Right to Open Account in Convertible Foreign Currency: A Non-Resident Nepali who has obtained an identity card may open and operate an account in convertible foreign currency in any commercial bank or financial institution licensed by the Nepal Rastra Bank to conduct financial transactions, of the amount earned in convertible foreign currency. 7.

Right to Invest in Convertible Foreign Currency: (1) A Non-Resident Nepali or any foreign company in which more than fifty percent of the shares are invested by a Non-Resident Nepali may invest, in convertible foreign currency in Nepal, the amount earned in foreign currency abroad, in any industry or business opened for foreign investment pursuant to the prevailing law, or in any other industry or business opened by the Government of Nepal for investment by Non-Resident Nepalis by publishing a notice in the Nepal Gazette. (2) The amount to be invested in Nepal by the Non-Resident Nepali or company pursuant to Sub-section (1) shall be received through any commercial bank or financial institution licensed by the Nepal Rastra Bank to conduct financial transactions pursuant to the prevailing law. (3) In a situation where the source of the amount received pursuant to Sub-section (2) is required to be disclosed pursuant to law, the source thereof shall be disclosed. 8. Duty to Furnish Information: If any Non-Resident Nepali makes an investment in Nepal, information thereof shall be given to the prescribed authority stating the prescribed particulars. 9. Right to Repatriate Amount: Notwithstanding anything contained in the prevailing law, a Non-Resident Nepali may repatriate, in convertible foreign currency as prescribed, the amount equivalent to the investment made pursuant to Section 7 and the profit derived therefrom. 10. Facilities and Concessions to Foreign Citizen of Nepali Origin: (1) Notwithstanding anything contained in the prevailing law, a foreign citizen of Nepali origin may, subject to the prescribed conditions, purchase land of a prescribed area or other property for himself/herself or for his/her family for residing within Nepal. (2) The property purchased by a foreign citizen of Nepali origin pursuant to Sub-section (1) may be sold subject to the prevailing law. (3) If a foreign citizen of Nepali origin dies without leaving any issue and has property in Nepal, such property shall devolve to his/her successor, if the successor is a foreign citizen of Nepali origin who has obtained an identity card, and if there is no such successor, then according to the prevailing law. 11. Facilities Relating to Visa: Amended by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(1) Notwithstanding anything contained in the prevailing law, a Non-Resident Nepali visa for up to ten years shall be provided free of charge to a person who has obtained Non-Resident Nepali citizenship residing in Nepal, or a foreign citizen of Nepali origin who has obtained an identity card, or his/her family.

Inserted by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(1A) Notwithstanding anything contained in the prevailing law, a residential visa with multiple entry facility for a period of two years at a time shall be provided free of charge to a person who has obtained Non-Resident Nepali citizenship.

(2) The period of visa granted pursuant to Sub-section (1) may be extended as required. 12. Tax Exemption:

Notwithstanding anything contained in the prevailing law, the following matters shall be as follows:-

(a) No tax shall be levied on the capital amount at the time of investment by a Non-Resident Nepali,

(b) No tax shall be levied at the time of receipt of the amount sent by a Non-Resident Nepali to his/her near relative who is a Nepali citizen through any commercial bank or financial institution licensed by the Nepal Rastra Bank to conduct financial transactions, for personal use, not exceeding fifteen lakh rupees in a fiscal year,

(c) No tax shall be levied at the time of receipt of the amount sent by a Non-Resident Nepali through any commercial bank or financial institution licensed by the Nepal Rastra Bank to any social, religious, educational, cultural, charitable, sports or institution related to relief work for natural disaster established on a non-profit basis. 13. Right to Operate Industry or Business: A foreign citizen of Nepali origin who makes an investment pursuant to this Act may operate an industry or business in Nepal like a Nepali citizen. 14. Entitlement to Facilities Under Prevailing Law: A foreign citizen of Nepali origin who makes an investment pursuant to this Act shall also be entitled to the facilities that any foreign citizen is entitled to receive for making an investment in convertible foreign currency in Nepal pursuant to the prevailing law. 15. Power to Constitute Advisory Board: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, constitute an Advisory Board consisting of a maximum of seven members, including representation from Non-Resident Nepali organizations, to make the policy or law relating to foreign investment timely, to advise the Government of Nepal on matters relating to motivating Non-Resident Nepalis to invest in Nepal, and to maintain harmonious relations among Non-Resident Nepalis.

(2) Other functions, duties and powers of the Advisory Board constituted pursuant to Sub-section (1), and its working procedures shall be as prescribed. 16. Provisions Relating to Non-Resident Nepali Association: (1) Notwithstanding anything contained in the prevailing law, Non-Resident Nepalis may establish a Non-Resident Nepali Association within Nepal with the objective of enhancing mutual cooperation and goodwill among Non-Resident Nepalis.

(2) Registration and other provisions of the Non-Resident Nepali Association shall be as prescribed.